Robinhood Markets, Inc.

HOOD NASDAQ

Hold	$82.59 ▼ 9.83%	12M Price Target	52-Week Range	Market Cap
		$88.00	$63.52 – $150.47	$74.37B

HOOD: Crypto Pullback Hits Retail Broker Darling Hard

WHAT HAPPENED

- HOOD dropped nearly 10% today on heavy volume with no company-specific news or filings — that's a classic sign of either an earnings-related reaction (they likely reported this week), a crypto market selloff bleeding through, or profit-taking after the stock ran from $63 to $94 in a few months. When a stock gaps down this hard with sector ETFs mostly green (Staples, Energy, Utilities all up), it's name-specific, not market-wide.
- Options flow is telling a mixed story — the put/call ratio is bearish at 0.64 but unusual CALL buying at $85-86 strikes (7x normal open interest) suggests some traders are betting this is an overreaction and buying the dip into November expiration.

WHY IT MATTERS

A 10% single-day drop with no headline usually means earnings disappointed on something investors cared about — most likely a slowdown in crypto trading revenue, which has been HOOD's rocket fuel this year. Here's the bigger picture: HOOD has basically become a leveraged bet on retail risk appetite + crypto volumes + prediction markets, and all three were white-hot through Q3. If today's move signals Q4 is cooling off, the stock's premium multiple (trading at ~45x forward earnings) becomes very hard to defend. That said, the structural story — Trump-era crypto deregulation, SEC backing off, prediction markets going mainstream — hasn't changed, so this is more likely a "pay too much, get punished" moment than a thesis break.

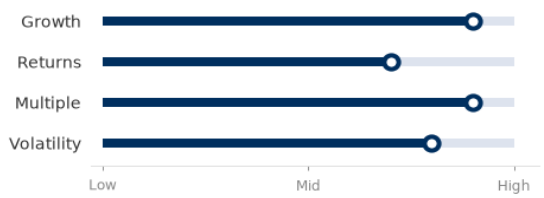
POLICY & POLITICAL WATCH

The regulatory environment for HOOD is as friendly as it's ever been: the Trump SEC under Atkins has dropped multiple crypto enforcement actions, the CLARITY Act (crypto market structure bill) passed the House and is working through Senate, and prediction markets got a green light from the CFTC after the Kalshi ruling — HOOD is directly plugged into all three tailwinds. Watch for the stablecoin legislation (GENIUS Act implementation) and any Treasury guidance on tokenized securities, both of which could unlock new revenue lines for HOOD. The risk is that if Dems take back the House in 2026 midterms, the crypto-friendly posture could stall, though they can't easily reverse what's already law.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$82.59**
12M Price Target	**$88.00**
Upside / (Downside)	**+6.6%**
Market Cap	**$74.37B**
FY2026E Revenue	**$4,250M**
FY2027E Revenue	**$5,100M**
FY2026E EPS	**$1.75**
FY2027E EPS	**$2.30**
Fwd P/E	**47.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | October 30, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$95.00**	$85.00	**$72.00**
6 Months	**$115.00**	$90.00	**$65.00**
1 Year	**$140.00**	$95.00	**$60.00**
2 Years	**$180.00**	$120.00	**$55.00**
5 Years	**$275.00**	$170.00	**$50.00**
10 Years	**$450.00**	$240.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Defensive sectors (Staples +1.79%, Utilities +1%, Healthcare +0.96%) — classic risk-off rotation, which is the exact opposite of what HOOD needs. Money is hiding, not speculating.

COOLING OFF: Risk-on growth and anything consumer-discretionary adjacent to retail speculation (fintech, crypto). The flight to safety today is a direct headwind for HOOD's customer activity.

ROTATION WATCH: Investors appear to be de-risking into month-end — possibly positioning ahead of Fed commentary or 2026 midterm uncertainty. When defensives lead and high-beta names like HOOD get hammered, it's about risk appetite, not fundamentals.

RELATED PLAY: If you believe in the crypto/retail trading thesis but want less volatility, COIN or even CME (which owns a chunk of the prediction markets infrastructure story) give you exposure with different risk profiles.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Still benefiting from the crypto regulatory thaw and institutional adoption — compare its action to HOOD today to tell if this is sector-wide or HOOD-specific
- IBKR (Interactive Brokers): The boring, profitable broker — tends to outperform when HOOD gets punished because investors rotate to "quality" within the brokerage space

HOOD CONTEXT: HOOD is lagging badly today, and if peers like COIN and SCHW are flat-to-up, that confirms this is a company-specific issue (likely earnings-related) rather than sector contagion. That's actually worse for sentiment short-term because it means the Street is re-rating HOOD specifically.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term setup (policy tailwinds + product expansion) but the valuation after this year's run leaves no margin for error, and today's drop suggests the market is starting to notice.

POSITION SIZE: 2-4% of portfolio — this is a high-beta name that can swing 10% in a day (as we just saw), so size it where you won't panic

ENTRY POINTS: I'd be more aggressive adding in the low-$70s where you're closer to technical support and the multiple becomes more reasonable; chasing here feels premature

TIME HORIZON: 12-24 months — catalyst is Senate passage of crypto market structure legislation plus any evidence prediction markets become a $1B+ revenue line

WHEN TO BAIL: If crypto trading revenue drops more than 30% quarter-over-quarter, or if the regulatory posture flips (unlikely under this administration), the thesis is broken

HEDGING: Simplest play is to buy a few put options as insurance, or pair the trade by shorting a smaller fintech if you want to isolate HOOD's company-specific upside without market risk

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.